PROJECT 1A · PUBLIC-SOURCE CASE STUDY

AI-assisted, human-reviewed analysis

Global Fashion Group S.A.

Financial statement analysis · FY2025 Annual Report

Independent case study v1.2 · Revised 2 November 2026

VALIDATED NUMERICAL PERIOD	WIDER PROJECT FRAME
FY2024–FY2025	FY2021–FY2025
FY2021–FY2023 values are not presented as validated quantitative results.	

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> Educational public-source simulation—not a statutory audit. No GFG accounting records were tested, none of the 45 proposed procedures was performed, and no audit opinion is expressed.

Executive summary

This report combines a public-source analysis, a frozen independent risk assessment and a reproducible quantitative pilot. The independent baseline preceded the separate comparison with EY's published Key Audit Matters.

Validated quantitative period: FY2024–FY2025. The wider project frame is FY2021–FY2025; FY2021–FY2023 values are not inferred or presented as validated.

The profit-or-loss comparison follows the FY2025 report's continuing-operations presentation. Cash flows include discontinued operations: Argentina in both periods and Chile in FY2025.

REPORTED REVENUE · FY2025 **€679.8m** Down 5.92% from FY2024	**GROSS MARGIN · CALCULATED** **46.41%** Up 1.52 percentage points
NET INVENTORY · FY2025 **€81.9m** Down 15.04%	**GFG-DEFINED NET WORKING CAPITAL · FY2025** **€(80.3)m** €25.5m more negative
REPRODUCIBILITY The public package contains all 76 Python–Excel checks and the workbook. All 76 pass; 61 saved formula results have no stored errors. The checks compare Python outputs with saved Excel values; they do not recalculate Excel or test GFG records.	**INDEPENDENT RISK WORK · LATER KAM COMPARISON** Nine potential risk categories and 45 proposed procedures were recorded; none was performed. The separate KAM comparison classifies three risks as clear, two partial and four with no direct match; EY's tax-contingencies KAM was not separately anticipated. It is a thematic learning exercise, not an audit-quality evaluation.

These movements are prompts for inquiry; public totals do not establish their causes or prove a misstatement.

Q03 remains unresolved and unallocated. The reproduced Pro-Forma Cash is €185.1m, but the broader Note 16 population (€9.5m) exceeds the APM adjustment (€8.6m) by €0.9m. No cause or misstatement is inferred.

Objectives and analytical method

The project demonstrates how public financial statements, accounting analysis, data tools and AI can support traceable work while preserving human judgement. The analytical chain is source fact → calculation → observation → hypothesis → potential risk → assertion → proposed procedure. No audit evidence was obtained; the proposed procedures remain unperformed.

Stage	Project treatment
Source fact	Permitted consolidated statements, ordinary policies and notes, business and segment reporting, metric definitions, supplement and results announcement.
Calculation	Recomputed trends, ratios, NWC components, Pro-Forma Cash and synthetic sensitivity comparisons.
Interpretation	Observations describe patterns; hypotheses remain untested.
Risk and assertion	Nine original independent categories, frozen priorities and mappings.
Proposed procedures	45 procedures preserved in support register; all unperformed.
Evidence status	No accounting records or contracts tested; no audit evidence obtained.

This report preserves the independent pre-KAM assessment baseline. The later comparison with EY's published Key Audit Matters is presented separately in the Stage 9 comparison addendum.

Company and business understanding

GFG is a Luxembourg-incorporated listed group operating online fashion platforms in Latin America, Southeast Asia and Australia/New Zealand. The assessment considered THE ICONIC, Dafiti and ZALORA, and the distinction between Retail transactions and Marketplace or platform activity. Principal-versus-agent conclusions affect whether some activity is presented gross or net.

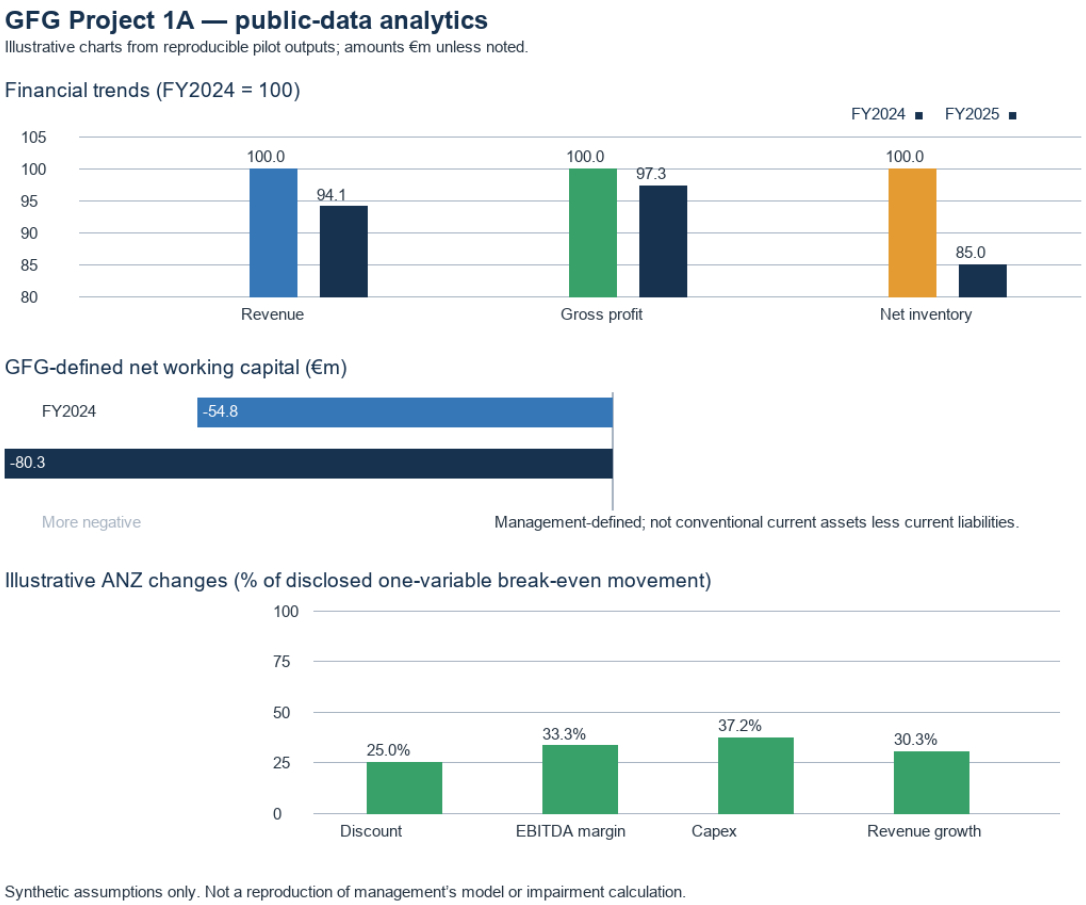
FY2025 IFRS revenue was €679.8m, including €562.4m from goods and €88.6m of Marketplace revenue. GFG-defined NMV was €1,041.6m; Marketplace represented approximately 39.3% of NMV. Marketplace revenue was approximately 13.0% of total IFRS revenue. NMV and IFRS revenue measure different activity.

These business features inform distinct accounting questions: inventory valuation and markdowns in Retail; contract-based gross-versus-net presentation in Marketplace; returns and customer obligations across channels; and regional forecasts in recoverability analysis.

Sources: permitted FY2025 Annual Report business review and segment information; consolidated profit or loss p.47; Note 6 pp.69–71; definitions pp.127–129; frozen independent assessment.

Financial performance validated for FY2024–FY2025

This Stage 8 raster recreation uses the frozen Stage 7 plotting logic and output data. The original SVG remains unchanged in the technical archive. It covers FY2024–FY2025 and is not a five-year chart.



Metric	FY2024	FY2025	Change
Revenue (€m)	722.6	679.8	−42.8 / −5.92%
Gross profit (€m)	324.4	315.5	−8.9 / −2.74%
Gross margin	44.89%	46.41%	+1.52pp
EBIT (€m)	−74.9	−40.0	+34.9
Adjusted EBITDA (€m)	−17.6	9.3	+26.9
Operating cash flow (€m)	−15.0	7.5	+22.5

Sources: Annual Report pp.47, 52; Note 6 pp.69–71; definitions p.127; register S01–S06A and S12–S12A. Adjusted EBITDA is a GFG-defined non-IFRS measure.

Profit-or-loss comparative figures follow the FY2025 report's continuing-operations presentation.

Reading the financial movements

Revenue fell by €42.8m (5.92%) while gross profit fell €8.9m (2.74%) and gross margin rose approximately 1.52 percentage points. Gross margin is gross profit divided by revenue for each year.

The opposite direction of revenue and margin is an observation. Product or channel mix, pricing, markdowns, returns and other factors are possible hypotheses, not established explanations. These aggregate data do not establish a revenue-recognition error or inappropriate returns estimation.

Reported EBIT improved from a loss of €74.9m to a loss of €40.0m. Adjusted EBITDA moved from a loss of €17.6m to positive €9.3m. EBIT is reported in the consolidated income statement; Adjusted EBITDA is a company-defined APM and should be read with its reconciliation.

The recovered technical archive does not contain validated FY2021–FY2023 calculations. This draft does not infer or graph values for those years.

Sources: Annual Report p.47 and Note 6 pp.69–71; Stage 7 financial_trends.csv and gross_margin.csv; Python–Excel reconciliation.

Cash generation and Pro-Forma Cash

IFRS cash and cash equivalents declined from €210.6m to €176.5m. Net operating cash flow moved from €(15.0)m to €7.5m. Closing cash reflects all cash-flow categories and other movements; operating cash flow is one subtotal.

Cash measure	FY2025 (€m)	Classification and source
Cash and cash equivalents	176.5	IFRS balance; p.48, Note 17 p.84
APM adjustment	8.6	GFG-defined restricted cash/deposit adjustment; p.129
Investment funds	Nil	As presented in published reconciliation
Pro-Forma Cash	185.1	GFG-defined APM

The sum 176.5 + 8.6 + nil = 185.1 agrees with GFG's published APM. Note 16 separately lists €6.2m current restricted cash and €3.3m deposit receivables, totalling €9.5m. The €0.9m difference to the APM adjustment has no component allocation in the permitted disclosures reviewed. No category is assigned and no misstatement is inferred.

Q03 remains unresolved and unallocated; the APM arithmetic is reproduced, but the reviewed disclosures do not explain the component mapping. Pro-Forma Cash is not IFRS cash, and this calculation is not audit evidence.

Sources: Annual Report pp.48, 84, 129; FY2025 results announcement 4 March 2026; register C03–C08.

Cash-flow figures include discontinued operations: Argentina in both periods and Chile in FY2025. See Annual Report p. 52

Working capital and inventory

GFG-defined NWC moved from €(54.8)m to €(80.3)m, a decrease of €25.5m. The company definition includes inventory and receivables, deducts trade payables and other financial liabilities, and adds back specified liabilities. It is not conventional current assets less current liabilities.

NWC component (€m)	FY2024	FY2025
Inventory	96.4	81.9
Current trade and other receivables	48.8	21.1
Less payables and other financial liabilities	(204.0)	(224.7)
Add back current convertible bond	2.7	40.4
Add back share-based-payment liabilities	1.3	1.0
GFG-defined NWC	(54.8)	(80.3)

Net inventory decreased 15.04%. The Note 15 provision divided by gross finished goods and merchandise fell from 8.8403% to 8.0408%, a 0.7995pp change, or 0.80pp rounded. This ratio cannot establish SKU-level NRV or provision adequacy.

The FY2024 financial-definitions table displays inventory €96.3m, while the statement and Note 15 report €96.4m. The latter reproduces published NWC of €(54.8)m; using €96.3m alone yields €(54.9)m. This €0.1m display difference is documented.

Supplier finance: the report discloses €12.6m outstanding and €2.8m paid directly to suppliers at year end, and its policy includes relevant trade-payable flows in operating activities. The public source does not map those balances to the NWC payable line. No causal or classification conclusion is inferred.

Sources: Annual Report pp.58, 83–84, 91, 129; registers C01–C02, S20–S22; technical NWC and inventory outputs.

Revenue and customer obligations

FY2025 disclosures include refund liabilities of €10.8m, return-recovery assets of €5.6m and contract liabilities of €7.9m. A €9.4m gift-card reclassification is also reported. These are published balances, not proof of estimate accuracy or obligation completeness.

R02 concerns gross-versus-net presentation for Retail, Marketplace and platform arrangements, based on contractual rights and control of specified goods or services. R03 concerns revenue timing, returns, refunds, gift-card obligations and revenue deferrals. Their assertion mappings and selected procedures are summarized on page 14.

Public aggregate values cannot resolve contract-specific principal-versus-agent conclusions or year-end cut-off. Actual testing would need contracts and transaction-level records. None was available or tested in this simulation.

Sources: Annual Report pp.47, 63–64, 83, 91–93; frozen V1.1 source and risk registers.

Factoring and receivables

Current trade and other receivables decreased from €48.8m to €21.1m, a reduction of €27.7m (56.76%). Management linked much of the decrease to increased factoring. Public data do not quantify precisely how much of the movement arose from factoring; the balance change should not be equated with factoring proceeds or a cash-flow amount.

R04 is a Priority 1 potential risk concerning derecognition of factoring arrangements. Its frozen assertions are rights and obligations, and completeness. The risk reflects contractual complexity and potential exposure, not a conclusion that derecognition was incorrect.

The V1.1 procedure refinements retain existing IDs and clarify evaluation of transferred risks and rewards, control, continuing involvement, associated liabilities and cash-flow effects. FAC-03 and FAC-04 remain proposed and unperformed.

Sources: Annual Report pp.48, 84 and permitted management discussion; frozen V1.1 risk, assertion and procedure registers.

Intangibles and financing balances

GFG reported €32.0m of internally developed software and website assets and €12.2m of FY2025 additions. R05 considers whether expenditure met IAS 38 criteria from the relevant recognition date and whether useful lives and amortisation are appropriate. Published totals alone do not establish project eligibility.

The assessment also records a €40.4m convertible-bond liability, classified as current, and total lease liabilities of €49.2m. R07 is a Priority 2 potential risk over completeness, valuation and classification of financing and lease obligations and related interest. Aggregate public figures cannot substitute for contract review or recalculation.

INT-01 to INT-05 and FIN-01 to FIN-05 remain proposed. V1.1 includes supplier-finance arrangements within FIN-03 and CFS-02 while preserving procedure IDs and types.

Sources: Annual Report Notes 13, 20 and related financing/lease notes; V1.1 registers.

Recoverability and regional performance

R06 is a Priority 1 risk concerning goodwill or other non-financial assets if supporting forecasts or assumptions are not reasonable. The original assessment distinguishes ANZ goodwill (€51.6m) and SEA non-financial asset recoverability; SEA reported an operating loss. The public disclosures describe discounted-cash-flow impairment assessment.

The Annual Report reports ANZ recoverable amount €113.4m and base-case headroom €43.2m. Published one-variable break-even changes are discount rate +8.0pp, EBITDA margin −3.0pp, capex +26.9%, and 2028/29 revenue growth −3.3%. Stage 7 compares these with synthetic user-selected cases. It does not reproduce management's model, combine assumptions or calculate impairment.

R06a and R06b are sub-mappings within R06, both valuation and allocation; they are not additional risk categories. The underlying carrying amounts, forecasts and model inputs were not independently tested.

Sources: Annual Report Notes 6 and 13, segments pp.69–72 and impairment disclosure p.83; technical v0.1 sensitivity output.

Nine independent potential risks

Priorities are analytical investigation priorities from the independent educational assessment. Priority 1: R01, R02, R04 and R06. The original nine categories and wording remain unchanged in frozen Version 1.1.

ID	Priority	Potential risk as frozen
R01	Priority 1	Inventory may be overstated if estimates of selling prices, markdowns or unsaleable merchandise do not adequately reflect NRV.
R02	Priority 1	Retail and Marketplace transactions may be incorrectly presented on a gross or net basis if principal-versus-agent conclusions do not reflect the underlying contracts.
R03	Priority 2	Revenue and customer-related obligations may be misstated if delivery cut-off, expected returns, refunds, gift-card obligations or revenue deferrals are incorrectly measured or classified.
R04	Priority 1	Receivables or financial liabilities may be misstated if factoring arrangements are not accounted for in accordance with the applicable derecognition criteria.
R05	Priority 2	Internally developed intangible assets may be overstated if expenditure not meeting IAS 38 capitalisation criteria is recognised as an asset, or useful lives are inappropriate.
R06	Priority 1	Goodwill or other non-financial assets may be overstated if forecasts or valuation assumptions supporting recoverable amounts are not reasonable.
R07	Priority 2	Convertible-bond or lease balances, interest expense or current/non-current classifications may be misstated if contractual terms are incorrectly reflected in accounting.
R08	Priority 2	Cash-flow categories or related disclosures may be misstated if factoring receipts, lease payments or financing transactions are classified inconsistently with their substance.
R09	Priority 2	Liquidity-related disclosures may be inadequate if material financing obligations, restrictions or uncertainties are not appropriately reflected in management's disclosures.

These potential risks were developed independently from permitted public information. They are not auditor-identified risks, findings or conclusions that a misstatement exists.

Assertions and selected proposed procedures

Risk mapping	Assertion
R01	Valuation and allocation
R02	Accuracy, classification, presentation
R03a	Occurrence, cut-off
R03b	Completeness, valuation
R04	Rights and obligations, completeness
R05	Valuation, classification
R06a	Valuation and allocation
R06b	Valuation and allocation
R07	Completeness, valuation, classification
R08	Classification, accuracy, presentation
R09	Completeness, presentation

Selected follow-up procedures below reproduce the exact frozen wording. Each remains proposed and unperformed.

ID	Selected proposed procedure — exact frozen wording
R01 · INV-03	Select items using a combination of high-value coverage, aged-stock targeting and an appropriate sample from the remaining population. Compare carrying cost against supported NRV, including subsequent selling prices and necessary selling costs.
R02 · REV-02	Obtain representative Retail, Marketplace and Platform Services agreements. Evaluate whether GFG controls the specified goods or services before transfer, considering contractual rights and the substance of the arrangements.
R04 · FAC-03	For selected arrangements, evaluate the IFRS 9 derecognition analysis: contractual cash-flow rights, transfer of risks and rewards and, where relevant, control and continuing involvement. Document any retained risks, continuing involvement and associated liabilities and consider their implications for cash-flow classification.
R06 · IMP-03	Compare forecast sales, margins, costs, working capital and capital expenditure with approved budgets, historical results, relevant market information and operational plans.
R07 · FIN-03	Obtain the lease population, assess completeness against property and operating-location records, and examine selected agreements. Obtain the supplier-finance arrangement population and terms, including amounts outstanding, original due dates and year-end settlement information; reconcile relevant balances to trade payables and consider the arrangements' contractual substance and disclosure.
R08 · CFS-02	Evaluate the classification of selected factoring, bond, lease and other financing transactions against their economic substance and applicable reporting requirements. Include supplier-finance arrangements in the selected transactions; compare cash-flow classification and related disclosures with contractual substance, original due dates, supplier/finance-provider settlement information and the disclosed accounting policy.

The complete 45-procedure register, including exact wording, type and status, remains in internal project records and is not included in this public release.

Python, Excel and AI workflow

Python runs project-relative calculations and produces charts. The Excel workbook exposes inputs and formulas for inspection. The technical README specifies Python 3.10 or later, uses standard-library analysis and QA scripts, and requires no network or private data.

Public package check	Published result
Python–Excel overlap	76 checks passed; detailed CSV and report published
Workbook formula checks	61 saved formulas; no missing values or formula errors
Workbook structure	4 sheets
Rounding	€m checks generally tolerate 0.00011; ratios use tighter precision; display rounding does not replace formula precision
Analytics covered	FY2024–FY2025 trends, NWC, inventory, Pro-Forma Cash and illustrative ANZ sensitivities

AI drafted observations; human review compared them with source-register entries, Python output, workbook and permitted disclosures. The original AI draft, reviewed version and validation log are retained. AI did not validate itself, assign final risk conclusions or perform audit work.

The public package provides 76 Python–Excel checks, with 61 saved formulas and detailed cell-by-cell results. A successful run reconciles Python outputs to saved Excel values; it does not recalculate formulas inside Excel or validate company records.

Public technical files: Download Python + Excel package (ZIP) · Download workbook (XLSX) · View all 76 check results (CSV)

AI validation, limitations and conclusion

A provisional human-review draft incorrectly stated that the inventory provision ratio declined 0.84 percentage points. Recalculation established 0.7995 points, rounded to 0.80; the correction was made before the reviewed AI observations were issued. Review also narrowed an overbroad supplier-finance/NWC statement because the public disclosures do not map those amounts to the NWC payable component.

The €0.9m difference between the Pro-Forma Cash adjustment and the broader Note 16 balances remains unresolved by component. It is recorded as a public-source limitation, with no invented explanation and no misstatement inference. The FY2024 €0.1m NWC display difference is also retained.

The work demonstrates public-source traceability, reproducible calculations and human review of AI output. It does not provide assurance over GFG's financial statements. All 45 procedures remain unperformed.

This v1.2 case study preserves the independent pre-KAM baseline. The Stage 9 thematic comparison is published separately in the companion addendum. Open the v1.2 KAM comparison PDF

Selected source references

- GFG FY2025 Annual Report source pages: · Statements pp.47–52 · Notes 15–17 pp.83–84 · APM definitions pp.127–129
- GFG FY2025 results announcement, 4 March 2026: Open announcement
- The independent risk assessment and its supporting registers are separate project records; they are not included in the calculation download.
- Public calculation package: Python scripts, source-linked numerical inputs, Excel workbook, generated outputs and full 76-check reconciliation.

The independent baseline was prepared before reviewing the published auditor KAMs. The later thematic comparison is documented separately in the Stage 9 addendum.